Erudite Africa Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

Health and pharmaceuticals

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Africa Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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— Executive summary

Ethiopia's local pharmaceutical industry is scaling up quickly: the government says local suppliers now cover more than 44 percent of national procurement of drugs and medical equipment, up from about 8 percent five or six years earlier, and it aims to raise the share of locally produced medicines and medical supplies above 50 percent by 2030. The World Bank reports that the national regulator has reached WHO Maturity Level 3, opening new export opportunities, and that the dedicated Kilinto pharmaceutical zone already hosts nearly 30 investors, supported by tax holidays and price preferences for domestic manufacturers. In services, the Ethiopian Investment Commission points to strong demand for hospital capacity, with only 17% of tertiary hospitals private and more than $120 million a year spent by Ethiopians on treatment abroad.

LOCAL SUPPLIERS' SHARE OF NATIONAL PROCUREMENT OF DRUGS AND MEDICAL EQUIPMENT

more than 44 percent (up from about 8 percent five or six years earlier)

LOCAL PRODUCTION SHARE OF MEDICINE SUPPLY

more than 40% of medicine supply

SHARE OF PHARMACEUTICAL SUPPLY THAT IS IMPORTED

85%

MAJOR LOCAL PHARMACEUTICAL MANUFACTURERS

more than 20

01 Key indicators

Indicator	Value	Period
Local suppliers' share of national procurement of drugs and medical equipment	**more than 44 percent (up from about 8 percent five or six years earlier)**	2026 (statement of May 25, 2026)
Local production share of medicine supply	**more than 40% of medicine supply**	2026 (feature of May 26, 2026)
Share of pharmaceutical supply that is imported	**85%**	Undated ('currently'); page last modified 2023; page cites Frost & Sullivan and World Bank (2019)
Major local pharmaceutical manufacturers	**more than 20**	2026 (statement of May 25, 2026)
Healthcare market, total imports vs total local production (US$ thousand)	**Imports 128,867; local production 4,740**	2024 (estimated); page published 2024-01-18; table source National Bank of Ethiopia

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Indicator	Value	Period
Tertiary-level hospitals and private share	**364 hospitals; only 17% private; 85% of private hospitals in Addis Ababa**	Undated; page last modified 2023
Government target: share of locally produced medicines and medical supplies	**more than 50 percent**	by 2030 (stated May 2026)
Earlier medium-term target: local pharmaceutical industry market share	**47 percent (share stated at 36 percent, up from 8 percent)**	Medium-term health sector development and investment plan (stated June 22, 2024)

02 Returns and yields

Measure	Value	Period	Basis
Projected return on investment, cassava starch for pharmaceutical inputs (feasibility study)	**exceeds 50%**	2025 (study presented July 17, 2025)	Projected ROI from an AHRI and Industrial Projects Service feasibility study of a plant producing native starch, pre-gelatinized starch and dextrin (14,611 tons a year) as a local pharmaceutical input; one project, not a sector average
364-day Treasury bill weighted average yield (benchmark)	**19.10% (annual)**	Auction 974th/25, April 2, 2025 (latest auction with complete weighted average results shown on the NBE page)	Weighted average annual yield on government 364-day Treasury bills; a risk-free birr benchmark, not a sector return

No international institution or Ethiopian government source we reviewed publishes an average return on investment for pharmaceutical manufacturing, medical devices or private hospitals in Ethiopia; the figures above are a single-project feasibility projection for a pharmaceutical input (cassava starch) and the Treasury bill yield as a benchmark.

03 Investment opportunities

- **Kilinto pharmaceutical zone.** The Kilinto Special Economic Zone covers 279 hectares (160 hectares leasable) and serves as a dedicated hub for pharmaceutical and medical equipment manufacturing; nearly 30 investors are present, at stages ranging from construction to active production.
- **Finished drugs, vaccines and biologics.** The Ethiopian Investment Commission lists finished dose forms, antisera, vaccines, toxins, cultures and glandular extracts as manufacturing opportunities, citing demand growth of an average of 15% over the past five years.

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- **Tertiary and specialty hospitals.** The Commission promotes tertiary hospitals with a minimum of 300 beds serving local and inbound patients, to capture part of the more than $120 million Ethiopians spend annually on treatment abroad.
- **Advanced diagnostics and laboratories.** The Commission identifies advanced diagnostics and laboratories offering over 400 tests in Ethiopia, including the production of laboratory reagents, as an investment opportunity.
- **Local pharmaceutical inputs.** An AHRI feasibility study handed to the Ministry of Health found a cassava starch plant of 14,611 tons a year would have about 90% import substitution potential, with opportunities for regional export.
- **Equipment and supplies for new facilities.** The US Commercial Service lists equipment and services for new hospitals and health centers, cold storage, pharmaceutical warehouses and IT support among leading sub-sectors.

04 Incentives

- Ethiopia has introduced tax holidays and price preferences of up to 50 percent for eligible domestic manufacturers of medicines and medical supplies (per the Ministry of Health report carried by ENA).
- The Ethiopian Pharmaceutical Supply Agency gives local manufacturers 25% price protection when competing with foreign suppliers and a 30% advance payment with long-term agreements.
- The national regulator's WHO Maturity Level 3 status, and mutual recognition agreements among ML3 countries, are described by the World Bank as opening new export opportunities for locally made medicines.

05 Points to consider

- Foreign exchange access is a planning factor for importing equipment and supplies, according to the US Commercial Service; investors should build import timing and currency needs into project plans.
- Buyers are price-sensitive and the imported medical equipment and supplies market is led by Chinese suppliers; public tenders can involve lengthy bidding procedures. Local manufacturers can draw on the price preferences and EPSA price protection listed under incentives.
- Commodity price movements can affect input costs; under the IMF-supported reform program, which reached staff-level agreement on its fifth review in June 2026, the IMF encourages further improvement in the functioning and transparency of the foreign exchange market.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Africa Connect's analyst due diligence. Contact us to arrange one.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Africa Connect members on the platform.

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